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Refiners | Asia Pacific

"Golden Age": Pushback & Feedback

After weathering three major shocks in six years, fuel markets continue to demonstrate remarkable resilience. We see further upside to the refining cycle, with Asian refiners set to enjoy a higher than usual mid-cycle as the market overstates new capacity adds and understates ongoing disruptions.

1.Global Refinery utilisation is only 80%. Why do we see a Golden Age? Isn't the conflict key to the margins being above mid-cycle? Refining is a key bottleneck to the oil ecosystem, like power is for AI (see [Energy: Supercycle Recharges](#)). Hence we have seen fuel margins rise very consistently in Asia since 2021 and refinery level profitability has nearly risen 50% over five years. Most Asian and US refineries have reported 95% utilisation in last three years on average with refiners in India, Thailand and Malaysia reporting 100%+ utilisation rates. We believe refiners that are not able to operate at full run rates in the current margin environment, may struggle ([Exhibit 2](#)). Utilisation rate of 85% was also the peak in the last upcycle as refineries need to take downtime for maintenance every year and see large turnarounds every three to four years ([Exhibit 4](#)).

Even post-conflict, we believe refining margins should settle 20% above pre-conflict levels for diesel and gasoline and our bullish view only got reaffirmed as conflict-led disruptions have led to significant tightness in an already tight market with declining fuel inventories (more: [Refiners: The "Golden Age"](#) and [Why Crack Spreads Are So High](#))

2.What are the differences within countries to play the Golden Age in Asia?

Thailand and Korea offer the purest plays to a refining upcycle with limited challenges around windfall taxes on fuel products. India has capped fuel product margins to near US\$20-25/bbl for diesel and gasoline which benefits only from the highest capacity add globally. Japan and Australia have dynamics around fuel retail margins, but during an upcycle do benefit from higher fuel cracks. On an average US \$1/bbl rise in diesel margins imply 20-30% for our key picks – TOP TB, SPRC TB, S-Oil, HPCL NS, AMPOL and BCP TB ([Exhibit 7](#)).

3.What's the new mid-cycle margins; are there triggers for stocks or do they fall as GRMs decline from the highs?

Refining equities are pricing in mid-cycle margins, but we see the new mid-cycle to be 35% higher than last three cycles due to the market overestimating the supply and underestimating the supply disruptions ([Exhibit 5](#)). With well supplied oil markets in 2027, we do see crude discounts adding another layer of upside for fuel refiners in Asia. The recent Dubai crude discount over Brent of nearly US\$6/bbl highlights this dynamic as well. We see 40-60% upside to Street 2027 and 2028 EPS estimates for our key picks.

4. China export increases will de-rail the golden age:

China fuel exports had risen

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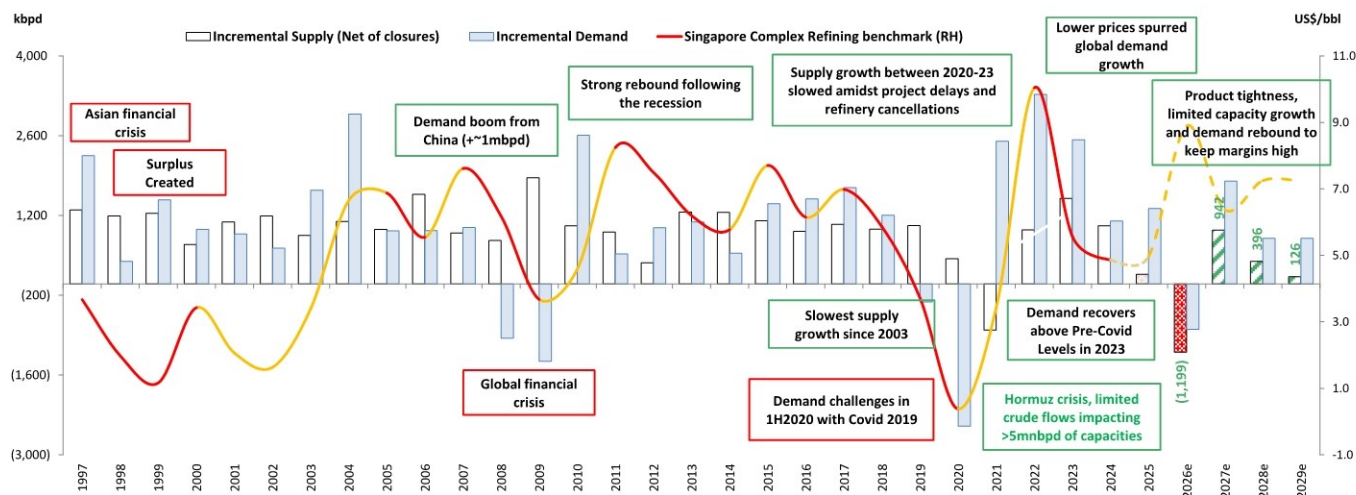
12% since 2012-2022 and have been flat since then ([Exhibit 13](#)). We do see need for fuel exports from China as there is limited new refining capacity available elsewhere. With broader availability of discounted crude now, we see teapots in China having limited edge over peers regionally. Also China domestic fuel consumption has struggled more recently ([Exhibit 9](#)).

Asia Pacific
Industry View

Attractive

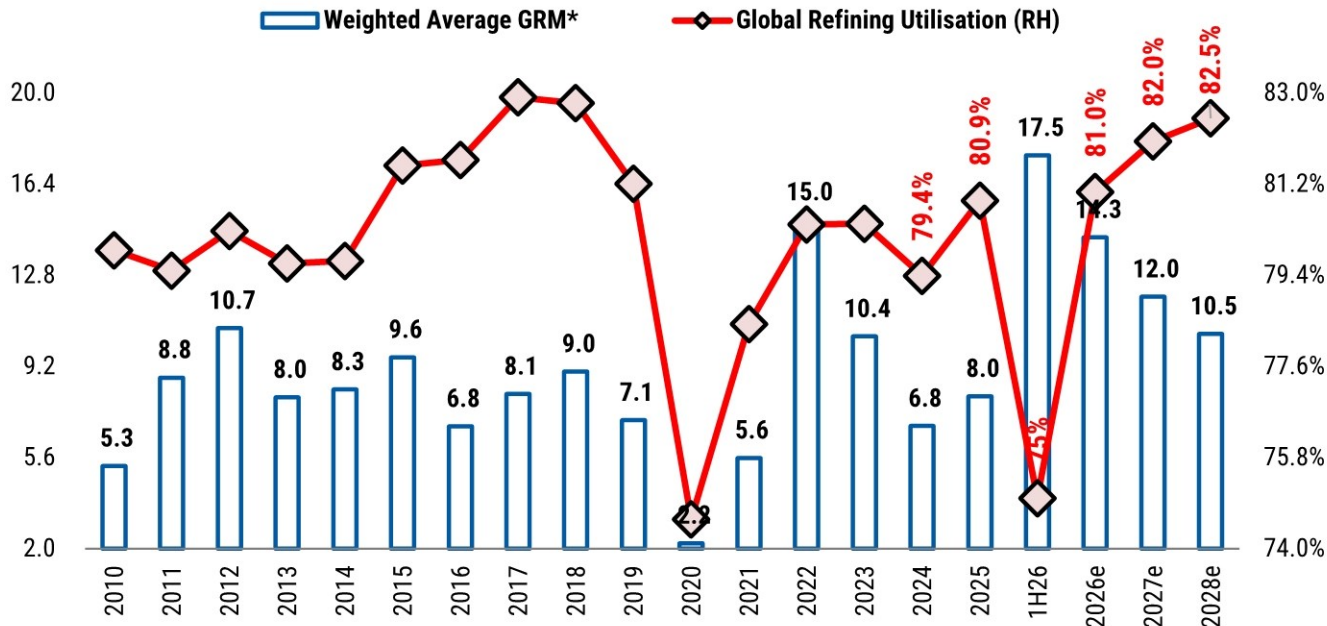
Golden Refining Cycle in Key Charts

Exhibit 1: Incremental demand of ~2.5mbpd over the next three years compared to <1.5mbpd capacity growth highlights the tightening supply dynamics for the industry



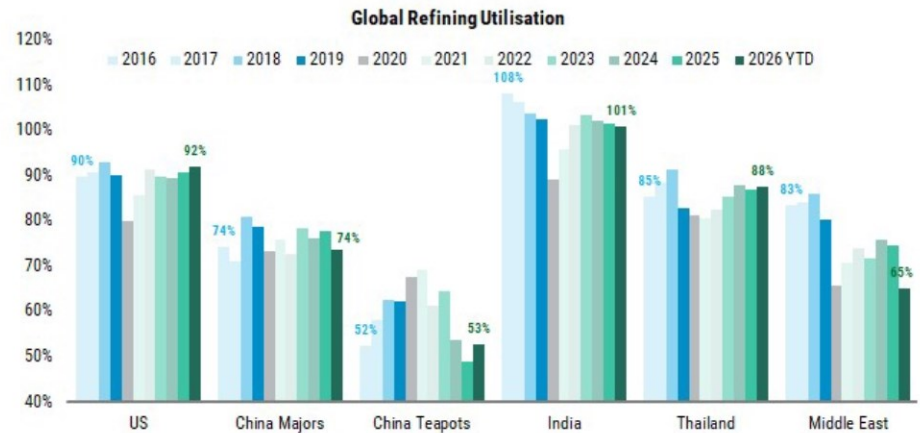
Source: Company data, BP, EIA, CIEC, Morgan Stanley Research (e) estimates

Exhibit 2: We see industry operating rates trending higher as demand resilience continues to surprise, capacity additions lag, and near-term supply dislocations keep supplies constrained



*Weighted Average: Capacity weighted average of US Six major refiners and Asia Singapore Complex margins
Source: Company data, BP, EIA, CIEC, Refinitiv, Morgan Stanley Research (e) estimates

Exhibit 3: Key Refining regions are currently operating to higher runs; china teapots impacted by lower domestic demand



Source: PPAC, EPPO, CIEC, EIA, OPEC, Morgan Stanley Research

Exhibit 4: Putting 2026 refinery outages in context

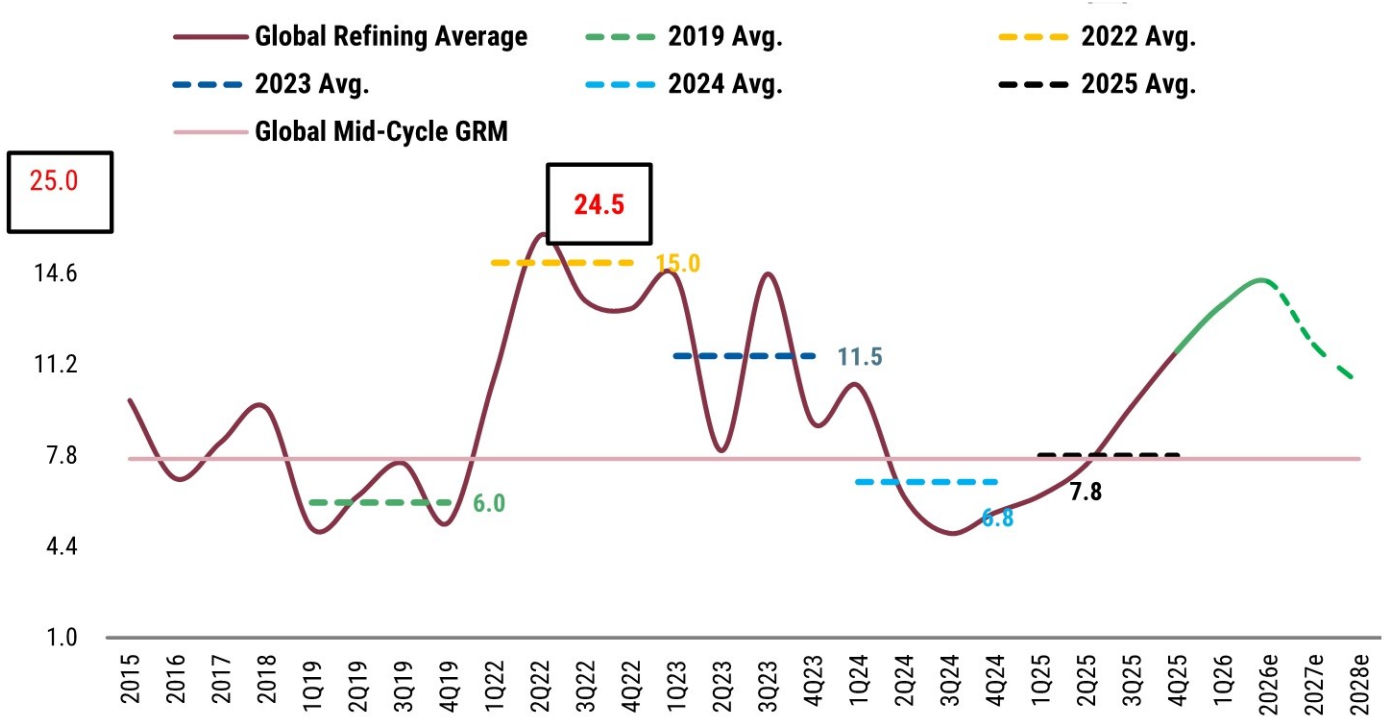
Refinery outages

(mb/d)

region	Actual												Known outlook			
	May 2025	Jun 2025	Jul 2025	Aug 2025	Sep 2025	Oct 2025	Nov 2025	Dec 2025	Jan 2026	Feb 2026	Mar 2026	Apr 2026	May 2026	Jun 2026	Jul 2026	Aug 2026
Africa	0.57	0.51	0.46	0.44	0.47	0.28	0.26	0.23	0.41	0.54	0.21	0.13	0.03	0.04	0.14	0.08
Brazil	0.11	0.14	0.16	0.09	0.09	0.12	0.07	0.06	0.05	0.01	0.03	0.01	0.01	0.01	0.02	0.01
China	2.05	1.45	1.20	0.91	0.86	0.96	1.22	1.19	1.12	0.53	0.55	0.92	1.49	1.72	1.54	1.22
Europe	1.51	1.12	0.38	0.17	0.57	1.03	1.16	0.36	0.29	0.80	1.20	0.69	0.60	0.34	0.10	0.19
India	0.15	0.20	0.06	0.18	0.15	0.14	0.22	0.26	0.00	0.00	0.11	0.55	0.54	0.37	0.17	0.20
Japan	0.51	0.73	0.52	0.35	0.42	0.46	0.42	0.10	0.13	0.15	0.15	0.33	0.30	0.41	0.33	0.11
Korea	0.11	0.11	0.00	0.00	0.00	0.17	0.17	0.17	0.00	0.24	0.38	0.52	0.36	0.29	0.00	0.00
Middle East	0.44	0.28	0.00	0.00	0.06	0.68	1.11	0.46	0.30	0.37	1.39	1.67	1.31	1.18	0.49	0.29
Other	2.22	1.32	1.18	1.02	1.18	1.36	0.74	0.54	0.80	1.15	1.72	2.34	2.33	1.77	0.81	0.65
Russia	0.60	0.72	0.92	1.48	2.05	2.21	1.98	1.50	0.72	0.78	0.98	2.01	2.29	2.94	1.84	0.98
Taiwan	0.00	0.00	0.00	0.00	0.24	0.24	0.24	0.31	0.15	0.00	0.18	0.18	0.00	0.10	0.10	0.10
US	0.66	0.24	0.23	0.22	0.77	1.41	0.64	0.10	0.76	1.17	0.86	1.03	0.43	0.36	0.11	0.04
World	8.86	6.77	5.10	4.81	6.69	8.96	8.13	4.83	4.61	5.54	7.65	10.27	9.70	9.42	5.58	3.83

Source: IIR, Bloomberg, S&P Global Platts, Morgan Stanley Research

Exhibit 5: While quarterly margins have been volatile, stability in annual refining margins globally has surprised, with Asian refiners generating ~20% higher margins vs. past cycle average



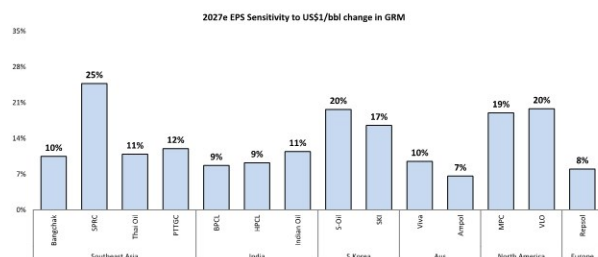
Note: Graph not to scale
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 6: Gross refining margin, by refiner (US\$/bbl): Companies with higher complexities and hardware upgrades have outperformed relative peer sets

GRM (US\$/bbl)	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26
ASEAN										
BCP	6.4	7.1	5.4	3.2	4.3	14.3	9.5	4.3	6.7	16.1
IRPC	3.1	3.5	0.5	(0.0)	3.1	6.7	4.1	3.1	3.5	10.5
SPRC	7.4	5.5	3.7	2.8	3.6	9.7	4.5	5.2	6.1	12.8
TOP	6.7	4.7	3.1	0.4	2.0	11.9	8.5	5.4	5.4	12.7
PTTGC	3.3	4.0	1.2	0.9	3.7	12.0	9.4	4.7	5.6	9.4
India										
HPCL	6.7	5.0	4.3	1.9	8.2	13.2	9.3	6.7	7.9	9.5
BPCL	6.8	4.6	4.2	3.0	5.6	17.5	15.5	8.0	10.1	14.6
IOCL	8.5	5.4	0.1	5.6	4.7	18.7	14.4	5.2	9.3	9.2
RIL	11.6	9.2	8.9	6.1	7.5	12.2	12.3	9.8	10.4	11.9
CPCL	6.4	3.7	(1.2)	7.1	8.9	11.9	8.9	5.2	8.1	10.3
MRPL	0.0	4.1	(0.2)	3.7	8.7	9.9	10.4	6.2	6.7	11.3
NRL	11.4	11.8	8.0	4.1	14.3	19.9	13.2	6.0	10.3	21.2
Australia										
Ampol	10.6	10.0	8.1	4.8	7.4	17.7	12.7	6.7	10.2	25.5
Viva	10.2	7.4	6.6	3.1	7.3	16.8	9.1	9.6	10.0	22.0
South Korea										
SKI	4.9	3.9	2.6	(1.7)	1.4	8.9	3.2	1.0	1.9	8.1
S-Oil	4.1	2.7	1.1	(2.1)	3.6	9.5	5.1	1.6	2.3	12.0
Asia Refining Average	6.7	5.5	3.2	2.3	5.8	12.9	9.0	5.4	7.0	13.6

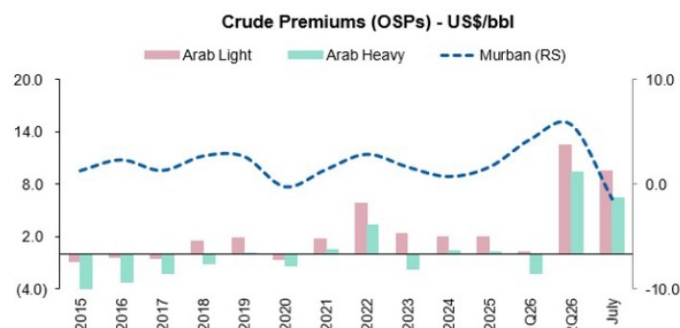
Source: Company data, Morgan Stanley Research

Exhibit 7: Global refiners: Thai refiners are among the most sensitive to swings in refining margins



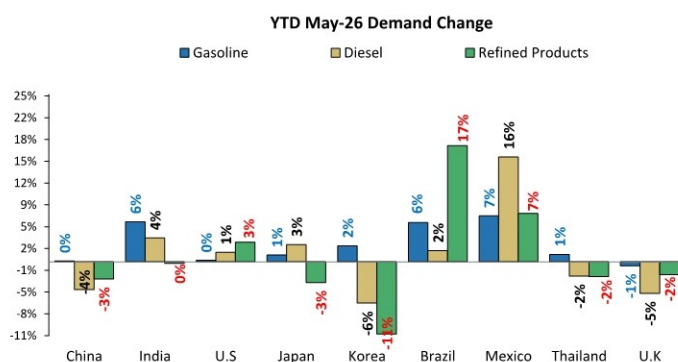
Source: Company data, Morgan Stanley Research estimates

Exhibit 8: Crude premiums remained elevated over last few months amid Middle East conflict



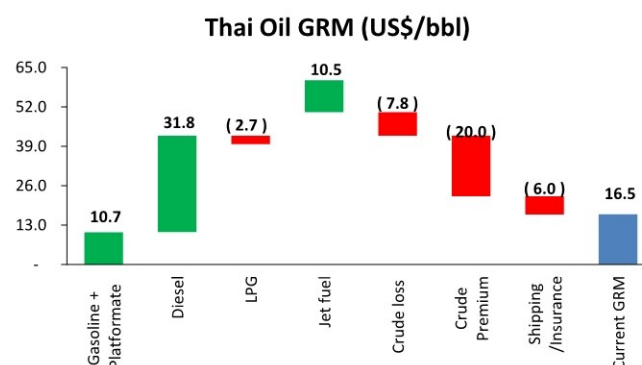
Source: Bloomberg, Morgan Stanley Research

Exhibit 9: Consumption growth for key fuels remains strong



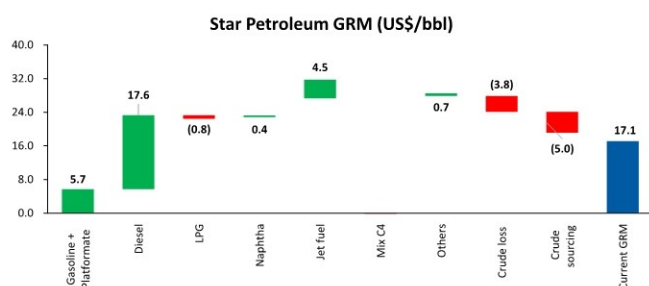
Source: Company data, Morgan Stanley Research estimates. Note: VLO and MPC are RIN adjusted

Exhibit 10: Thai Oil's high exposure to middle distillates is offset by the spike in crude sourcing costs



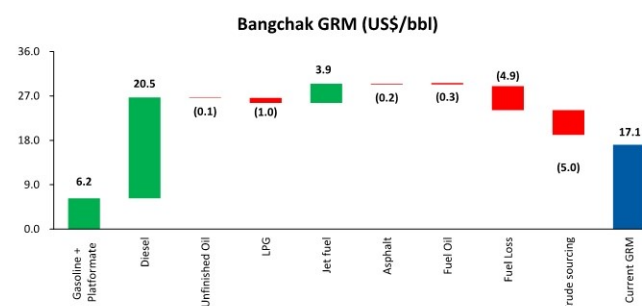
Source: Bloomberg, Company data, Morgan Stanley research estimates

Exhibit 11: Star Petroleum: While gross margins are significantly higher, they are offset by higher crude sourcing costs



Source: Bloomberg, Company data, Morgan Stanley research estimates

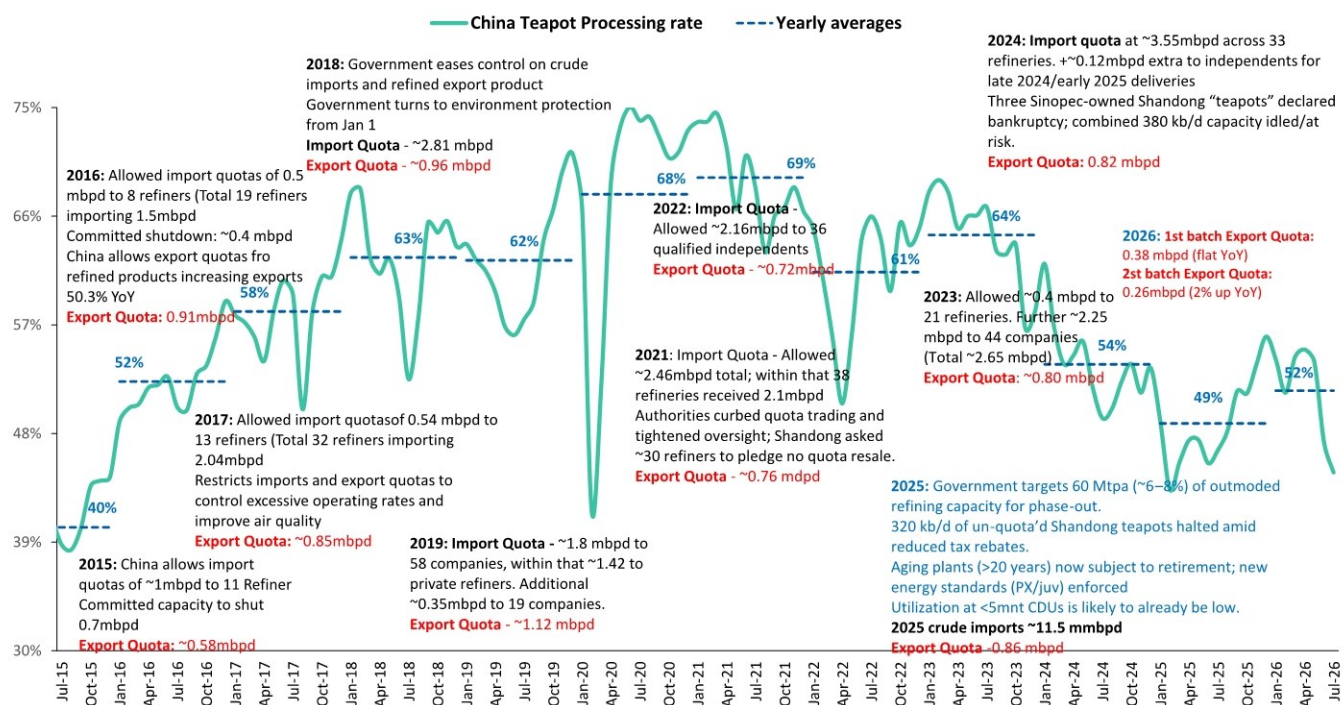
Exhibit 12: Bangchak Petroleum: Like peers, higher benchmark spreads are offset by higher crude sourcing and fuel loss costs



Source: Bloomberg, Company data, Morgan Stanley Research estimates

Exhibit 13:

China's export quota has decreased from 59mnt in 2020 to 32mnt run-rate in 2025, which has hampered utilisation rates of non-SOE refiners



Source: Bloomberg, S&P Global Platts, Morgan Stanley Research

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(as of June 30, 2026)

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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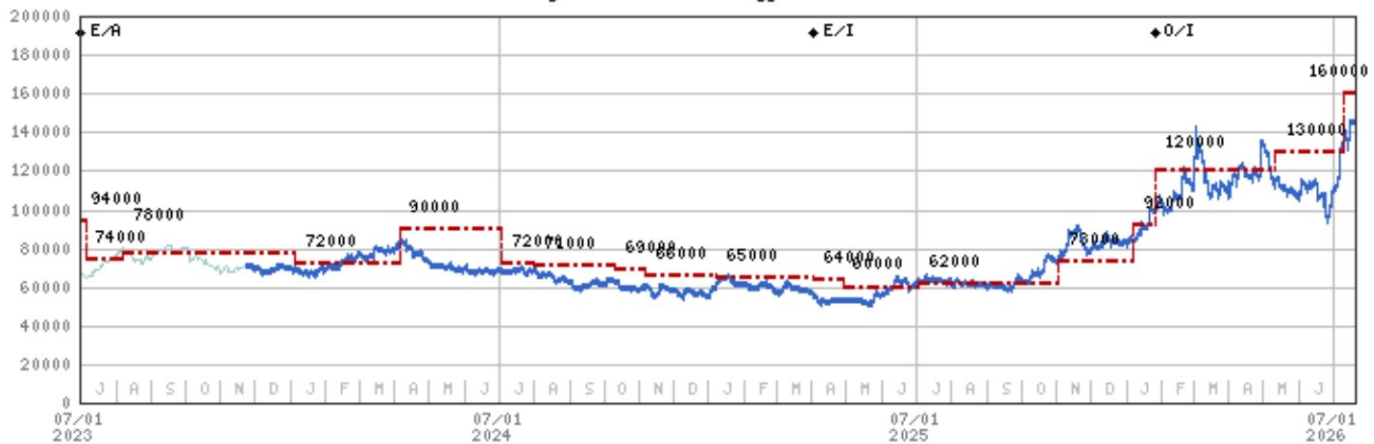
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S-Oil (010950.KS) - As of 07/20/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 7/1/21 : O/A; 4/6/23 : E/A; 4/3/25 : E/I; 1/26/26 : O/I

Price Target History: 6/24/21 : 130000; 10/6/21 : 140000; 12/10/21 : 130000; 1/27/22 : 120000; 4/4/22 : 130000; 5/19/22 : 140000; 7/6/22 : 130000; 10/27/22 : 120000; 1/3/23 : 110000; 4/6/23 : 94000; 7/6/23 : 74000; 8/8/23 : 78000; 1/5/24 : 72000; 4/6/24 : 90000; 7/4/24 : 72000; 8/1/24 : 71000; 10/11/24 : 69000; 11/6/24 : 66000; 1/8/25 : 65000; 4/3/25 : 64000; 4/28/25 : 60000; 7/4/25 : 62000; 11/3/25 : 73000; 1/8/26 : 92000; 1/26/26 : 120000; 5/11/26 : 130000; 7/10/26 : 160000

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No Price Target Assigned (NA)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Mayank Maheshwari		
Alamtri Resources Indonesia (ADRO.JK)	U (01/18/2024)	Rp2,490
Bangchak Corporation Public Company (BCP.BK)	O (01/04/2026)	Bt42.50
Indorama Ventures PCL (IVL.BK)	O (08/09/2024)	Bt24.50
Keppel Ltd (KPLM.SI)	O (02/15/2024)	S\$11.30
Petronas Chemicals Group Berhad (PCGB.KL)	O (07/29/2025)	RM4.73
PTT Exploration & Production (PTTEP.BK)	O (02/11/2026)	Bt145.50
PTT Global Chemicals (PTTGC.BK)	O (07/29/2025)	Bt37.00
PTT Oil and Retail Business PCL (OR.BK)	E (08/09/2024)	Bt13.00
PTT Public Company (PTT.BK)	E (04/07/2026)	Bt38.75
Seatrion Limited (SEAT.SI)	U (01/16/2026)	S\$1.99
Siam Cement (SCC.BK)	O (09/06/2025)	Bt254.00
Star Petroleum Refining (SPRC.BK)	O (12/19/2018)	Bt9.10
Thai Oil Public Company (TOP.BK)	O (04/07/2026)	Bt62.00
United Tractors Tbk PT (UNTR.JK)	O (01/20/2026)	Rp26,550
Ryan M Heng		
Indocement Tunggul Prakarsa Tbk PT (INTP.JK)	E (06/18/2026)	Rp4,700
Semen Indonesia (Persero) Tbk PT (SMGR.JK)	U (11/18/2024)	Rp1,505

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